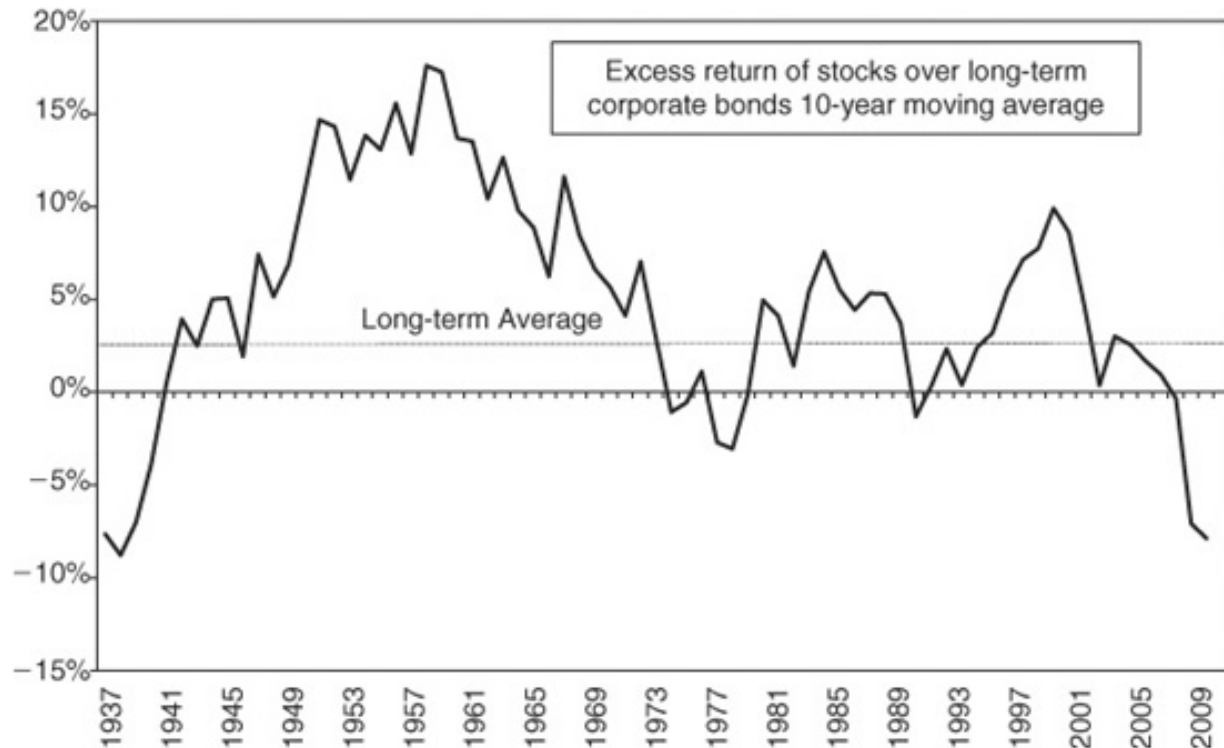


FIGURE 11-6

Rolling 10-Year Equity Risk Premium over Corporate Bonds



The equity risk premium is far from consistent. The difference between the 10-year annualized returns from stocks and bonds has varied from about minus 8 percent to plus 18 percent. If only there were a way to time these things! But there is not. Consequently, a long-term strategic position must be taken, with a long-term estimation of the risk premium. Given the risk of stocks and the current valuation of the market, a good prediction for the long-term equity risk premium going forward is about 3 percent annualized over long-term corporate bonds. I'll take a conservative view on the equity premium over corporate bonds and give it a 2 percent annualized expectation.

U.S. equity expectation = expected long-term corporate bonds + equity risk premium

There are other risk premiums that can be applied to the expected return on a portfolio in addition to the inherent risk of the equity market. For example, small-cap value stocks have a distinctive risk premium over large-cap stocks. There have been extra risk premiums paid for investing in small companies and for investing in less financially secure value